Econ 182

Notes (Oct, 2nd)

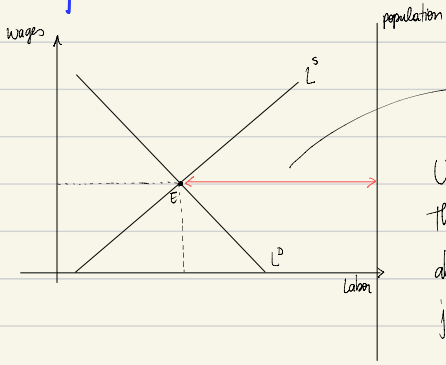
The following questions are related to the first 2 videos (Introduction):

1) Why is unemployment costly? What are the evidences that tell us that it is a big social problem?

In surveys designed to assess whether people are happy with their lives, the unemployed report a much lower level of happiness as opposed to employed people. This fact still holds true when we control for income, which also affects well-being.

What about the reverse causality?
We could infer that having a poor mental health management is the root cause for losing one's job. This hypothesis is rejected by a panel data (Winkelmann², 1998) from Germany that tracks the happiness level with time while focusing at the event of losing one's job.

2) Why do we need a new model to study and understand unemployment?



people who are not looking for a job.

Unemployment is an involuntary situation.
The traditional models cannot capture essential details about unemployment, such as labor market tightness, jobs vacancy rate, job finding rate, among others.